



Microeconomics

DEMAND

Chapter 3 | Lecture 2

DEMAND FUNCTIONS

Demand function shows the relationship between quantity demanded for a particular commodity and the factors influencing it.

Individual Demand Function - Individual demand function refers to the functional relationship between individual demand and the factors affecting individual demand.

It is expressed as:

$$D_x = f(P_x, P_r, Y, T, F)$$

① ② ③ ④ ⑤

$$D = f(\text{Influence})$$



- ① Price ✓
- ② Related Good (Price)
- ③ Income = $\bar{Y}$
- ④ Taste
- ⑤ Future Exp. Price.

Market Demand function

$$D_x = f(P_x, P_r, Y, T, F, P_0, S, D)$$

$$\begin{array}{l} \text{Investments} = I \\ \text{Income} = Y \end{array}$$

$C = \text{Consumption}$

DEMAND FUNCTIONS

Where,

D_x = Demand for Commodity x

P_x = Price of the given Commodity x

P_r = Prices of Related Goods;

Y = Income of the Consumer;

T = Tastes and Preferences;

F = Expectation of Change in Price in future

DEMAND FUNCTIONS

Market Demand Function - Market demand function refers to the functional relationship between market demand and the factors affecting market demand.

$$D_x = f(P_x, P_r, Y, T, F, P_o, S, D)$$

Where,

D_x = Market demand of commodity x;

P_x = Price of the given Commodity x

P_r = Prices of Related Goods;

Y = Income of the Consumer;

T = Tastes and Preferences;

F = Expectation of Change in Price in future

P_o = Size and Composition of population;

s = Season and Weather;

D = Distribution of Income.

Demand Schedule → Table

Market

Individual
Demand Schedule

P ↓

Price	Demand (Qty)	DT
100	10	① Person
80	15	
60	20	
40	25	
20	30	
5	50	

DEMAND SCHEDULE

Demand schedule is a tabular statement showing various quantities of a commodity being demanded at various levels of price, during a given period of time.

Individual Demand Schedule

It refers to a tabular statement showing various quantities of a commodity that a consumer is willing to buy at various levels of price, during a given period of time.

Market demand schedule

It refers to a tabular statement showing various quantities of a commodity that all the consumers are willing to buy at various levels of price, during a given period of time.

Demand Schedule

Individual Demand Schedule

Price in (₹)	Sanidhya Sir
5	1
4	2
3	3
2	4
1	5

P↓

D↑

Market Demand Schedule

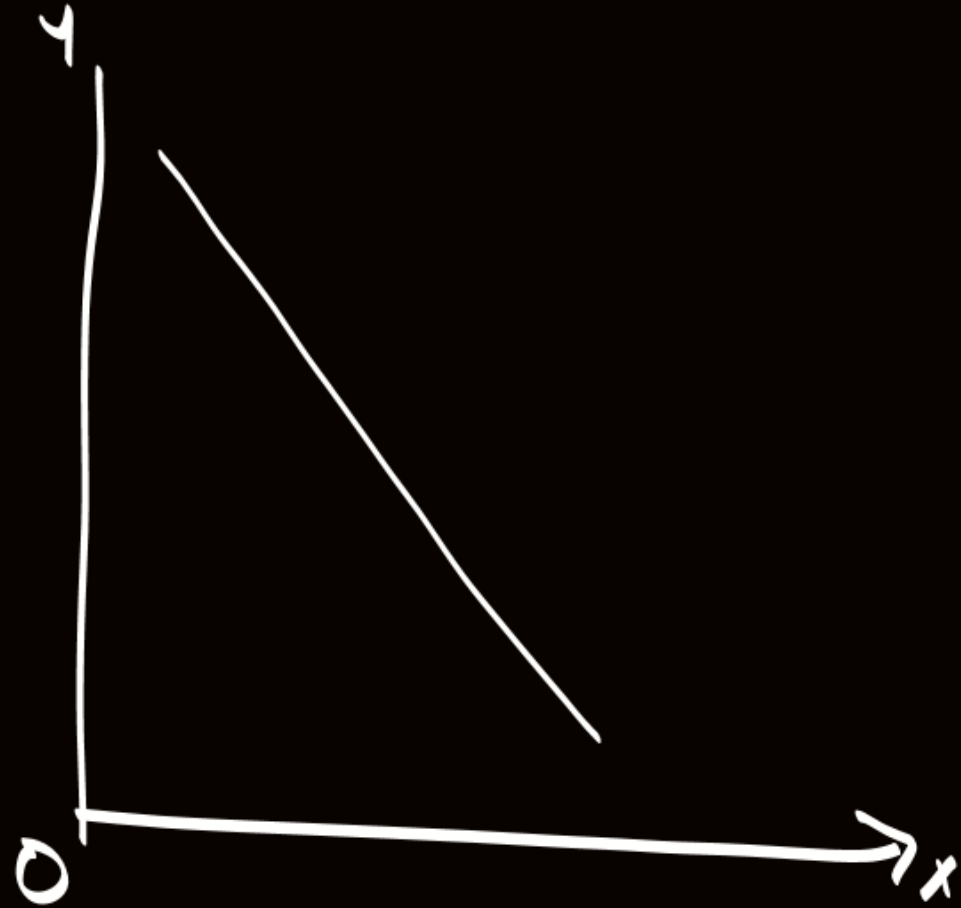
Price in (₹)	Individual Demand (in units)		Market Demand (in units)
	Sanidhya Sir	Digraj Sir	
5	1	2	1 + 2 = 3
4	2	3	2 + 3 = 5
3	3	4	3 + 4 = 7
2	4	5	4 + 5 = 9
1	5	6	5 + 6 = 11

P↓

D↑

Horizontal summation
IMCQ

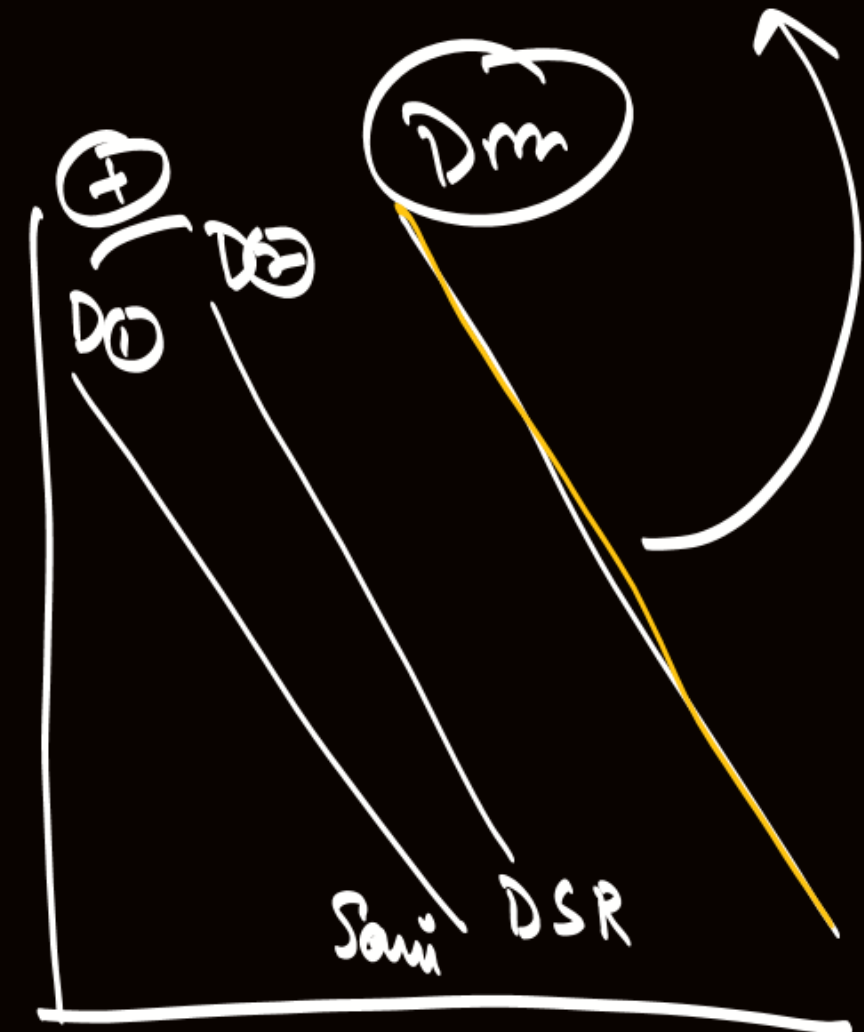
Individual Demand Curve → Graph



Inverse Relation

$P \uparrow$	$D \downarrow$
$P \downarrow$	$D \uparrow$

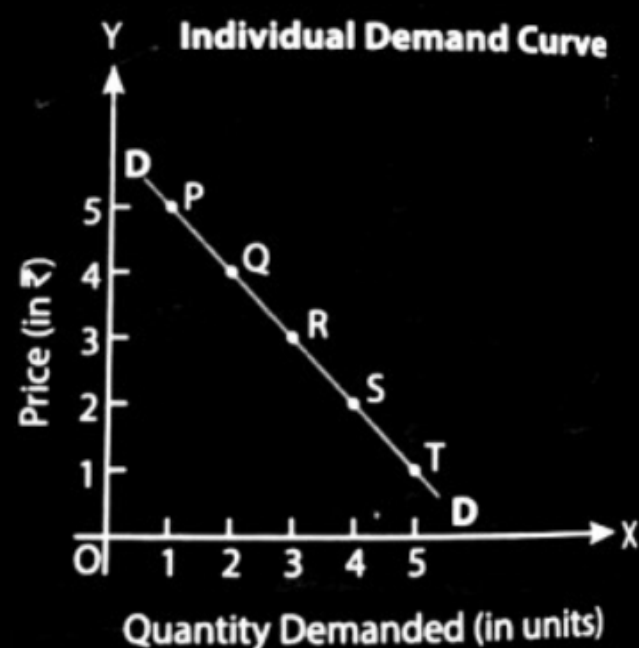
Market Demand Curve



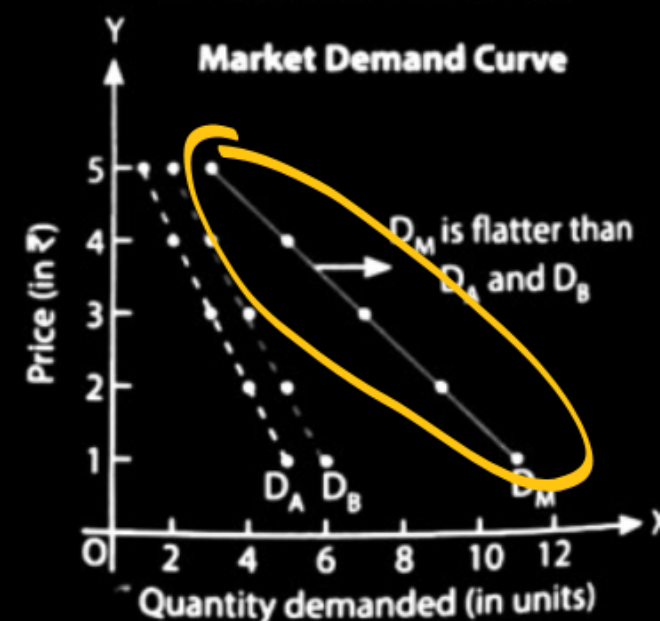
DEMAND CURVE

It is a graphical representation of demand schedule.

Individual Demand Curve
refers to a graphical representation of individual demand schedule.



Market demand curve
refers to a graphical representation of market demand schedule. It is obtained by horizontal summation of individual demand curves.

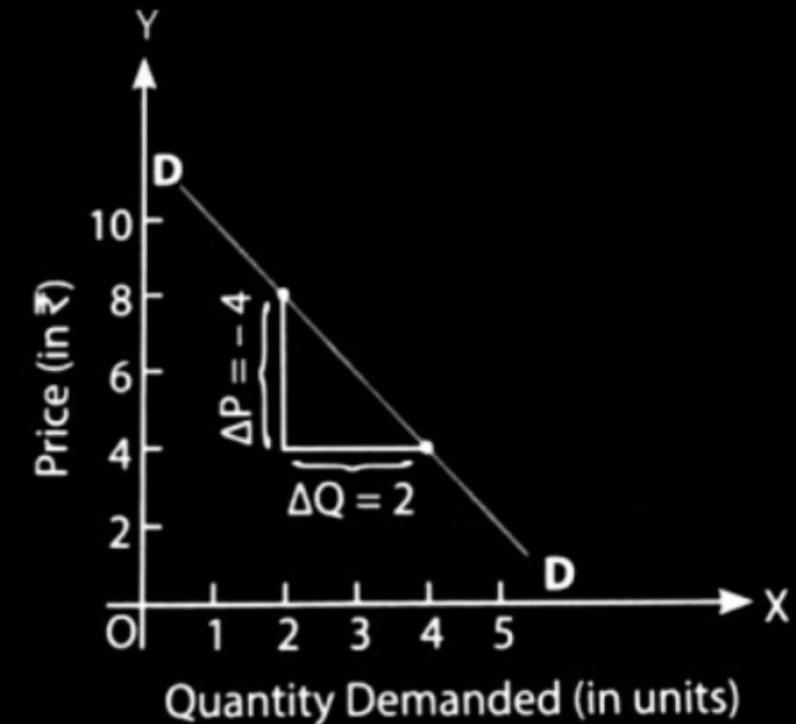


DEMAND CURVE

Slope of Demand Curve

Slope of a curve is defined as the change in the variable on the Y-axis divided by the change in the variable on the X-axis. So, the slope of the Demand Curve equals the Change in Price divided by the Change in Quantity.

i.e. Slope of Demand Curve = $\frac{\text{Change in Price } (\Delta P)}{\text{Change in Quantity } (\Delta Q)}$

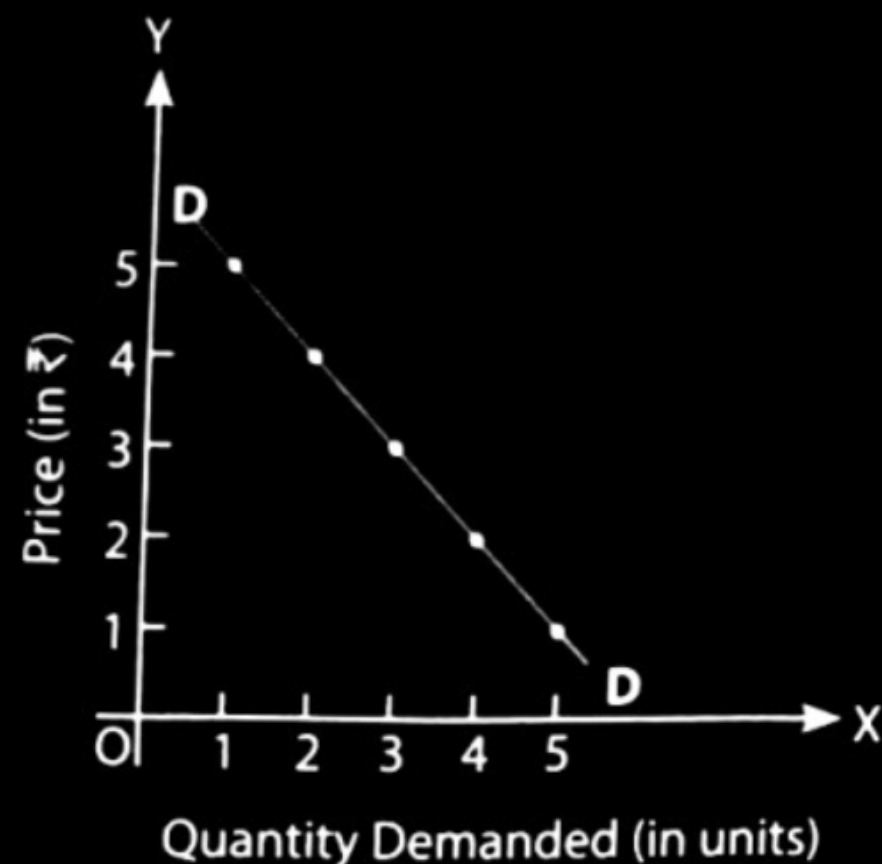




V.V.V. W.D.M.P.

LAW OF DEMAND

P. ↓ D. ↑
P ↑ D ↓

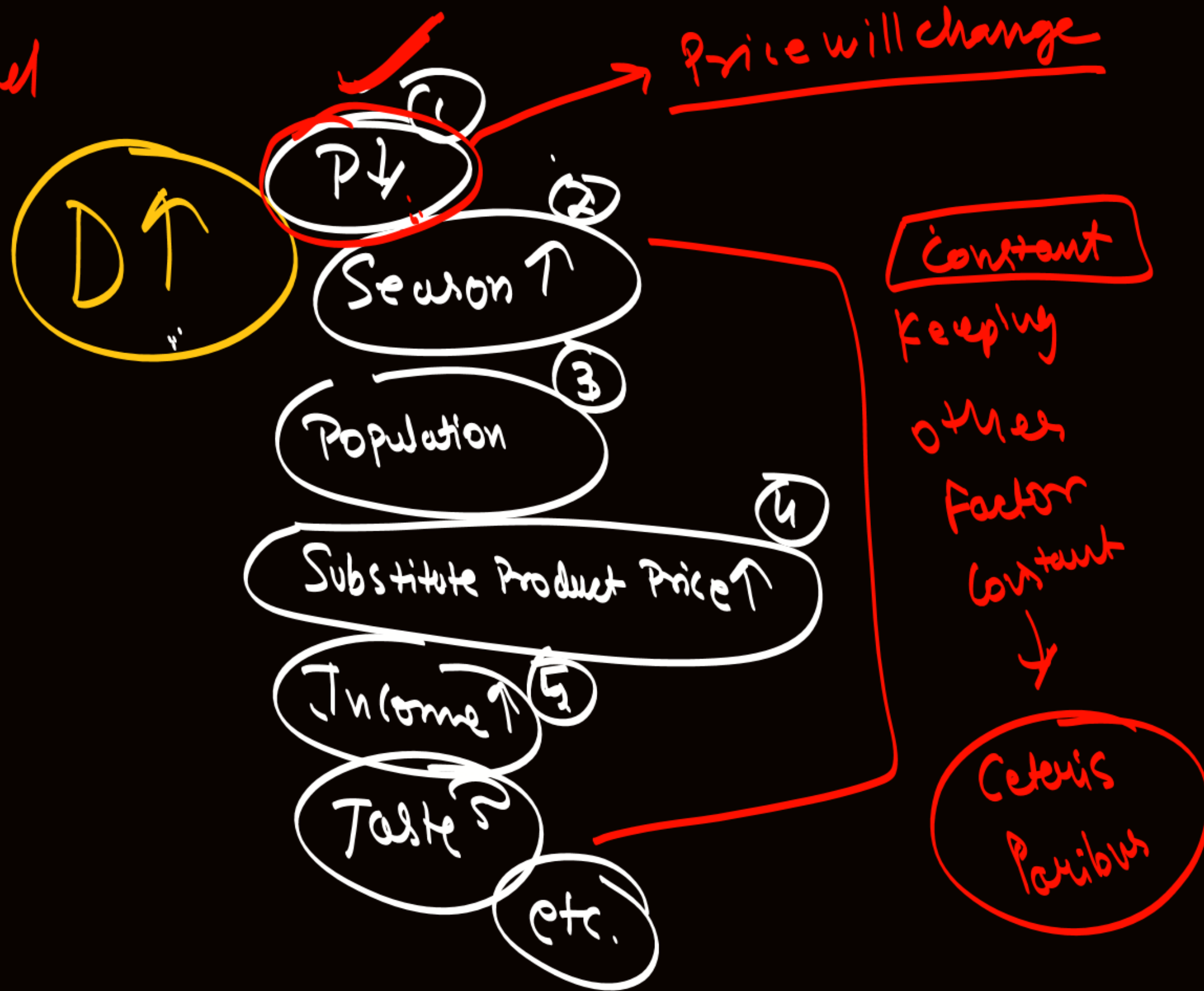


Law of demand states the inverse relationship between price and quantity demanded, keeping other factors constant (ceteris paribus). This law is also known as 'First Law of Purchase'.

Assumption of Law of Demand

- Prices of substitute goods do not change.
- Prices of complementary goods remain constant.
- Income of the consumer remains the same.
- There is no expectation of change in price in the future.
- Tastes and preferences of the consumer remain the same.

Law of Demand



Quality
P ↓ DT.

Kitna

Quantity X

LAW OF DEMAND

Important facts about Law of Demand

1. Inverse Relationship

Qualitative not Quantitative

No Proportional Relationship

One Sided

PRICE

DEMAND



50% Price ↑
50% Demand ↓

LAW OF DEMAND

Reasons of Law of Demand

- **Law of Diminishing Marginal Utility:** Law of diminishing marginal utility states that as we consume more and more units of a commodity, the utility derived from each successive unit goes on decreasing.
- **Substitution Effect:** Substitution effect refers to substituting one commodity in place of other when it becomes relatively cheaper.



TEA
Price



COFFEE
Deamnd

LAW OF DEMAND

Reasons of Law of Demand

- **Income:** Income effect refers to effect on demand when real income of the consumer changes due to change in price of the given commodity.
- **Additional Customers:** When price of a commodity falls, many new consumers, not in a position to buy it earlier due to its high price, starts purchasing it.



LAW OF DEMAND

Reasons of Law of Demand

- **Different Uses:** Some commodities like milk, electricity, etc. have several uses, some of which are more important than the others.



Thank *you*

A decorative horizontal line with a central diamond-shaped ornament and small diamond markers on either side.

Made with ❤️ by: Bhargavi
@bhargavi_nexttoppers



Aaj le liye itna hi

loveee youu soo
much bhaiyaa👁️💎



milte hai Kal Ki
class main



by:-gunjan satuniya
@gunjan_nextttt_topperrr